Jefferies

USA | Aerospace & Defense Electronics

Equity Research
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A&D Weekly: IATA Reduced Airline Profits by >50% So Only The Strong Survive?

This week, IATA reduced 2026 global airline profit forecast to $23BB from $45BB, with net margins now expected at 2.0% vs 4.2% prior to the war in Iran. Industry revenues are still projected to grow 9.5% to $1.17TT, supported by +2.1% passenger traffic growth, 84% load factors, and higher passenger / cargo yields. However, expenses are expected to grow faster at +13.1%, driven primarily by fuel, with fuel rising to 31.4% of operating costs (vs 25.4% in 2025).

Airline Profits Remain Positive Despite 50% Forecast Cut. IATA now expects global airline net profit of $23BB in 2026 on $1.17TT of revenue, implying a 2.0% net margin, down from its prior forecast of $45BB and 4.2% before the war in Iran. The revision reflects record jet fuel prices and Middle East traffic disruption, but the industry is still expected to remain profitable, highlighting resilient air travel demand amidst a challenging backdrop. ***Demand is holding up but fuel costs have pushed already thin margins to their limits for carriers with less premium / loyalty exposure.***

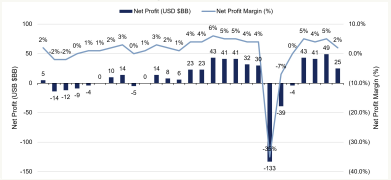
Traffic Growth And Record Loads Support Profitability, But Profit / Pax Falls. Passenger traffic is expected to grow +2.1% in 2026, passenger numbers are forecast to edge above 5.1BB, and load factors are expected to reach a record 84%. This supports the industry's ability to remain profitable despite disruption, but per-passenger profits are deteriorating, with net profit per departing passenger expected to decline to $4.5 from $9.1 in 2025. Resilient traffic and load factors are positive signals of demand strength, however the decline in per-passenger profit highlights that demand alone will not outweigh rising fuel costs.

Fuel Inflation More Than Offsets Higher Passenger And Cargo Yields. Industry revenues are projected to increase +9.5% in 2026, supported by higher passenger and cargo yields, but expenses are expected +13.1%, more than offsetting the revenue gains. Fuel is the biggest driver, with the industry fuel bill expected to reach $351BB and fuel's share of total operating costs rising to 31.4%, though IATA also notes costs are rising across the board. ***US jet fuel prices eased to $2.85/gal by mid-June from an April peak of $4.29/gal. From a $3.00 baseline, each 5% fuel decline could lift DAL / UAL EPS 10-15%, with a larger (as much as 50%) impact for lower-earnings-base carriers like AAL.***

Middle East Disruption Highlights Limited Shock Absorption. The forecast cut primarily stems from record jet fuel prices and major traffic disruption in the Middle East, but still expects the industry to stay profitable under current duress. IATA notes how global Airlines have never posted a net profit margin above 5%, while 2026 margins are now forecast at just 2.0%.

Structurally Low Margins Keep The Industry Vulnerable To The Next Crisis. Exhibit 1 displays IATA's 'Chart of the Week', showing an industry capable of returning to profitability post-COVID, but still operating with very limited margin cushion across cycles. A 2.0% global net margin leaves little room for incremental shocks from fuel, geopolitics, traffic disruption, delivery delays or softer discretionary travel. ***UAL and DAL remain the most insulated carriers from such shocks given the relative inelasticity of premium & loyalty demand.***

Exhibit 1 - Global Airlines' Net Profit, In $BB, and Net Profit Margin, % of Revenue



Source: IATA Sustainability and Economics using data from Airfinance Global.

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Defense & Space

- **Anduril:** Unveiled ArsenalOS, a software platform intended to connect design, manufacturing, supply chain management, and sustainment across its defense production operations. The system combines Anduril's Forge manufacturing platform w/ third-party tools to enable battlefield-driven design changes to flow back through sourcing and the factory floor, while tracking inventory, assembly progress, and sustainment needs. The announcement reinforces the broader push toward software-defined defense manufacturing, similar to PLTR's ShipOS adoption by shipbuilders incl **GD** Electric Boat and HII Newport News.
- **AVAV:** Senate authorizers are asking the Army for more detail on scaling and deploying small UAS at the tactical level, citing a strategy that "remains fragmented" despite experimentation and limited fielding. The FY27 policy bill would require briefings and reports on small UAS requirements across echelons, rapid acquisition, nontraditional defense partners, kinetic and droppable munitions, a potential National Guard drone center of excellence, and commercial radar options for LIDS; the language also pushes networked autonomous kinetic C-UAS capabilities to protect maneuver formations against Group 1/2 drones, reinforcing congressional focus on scalable, low-cost drone and counter-drone solutions.
- **AVAV:** Appointed William J. Lynn III to its Board, adding both defense and public-company leadership experience as AVAV scales. Lynn served as Chairman and CEO of DRS from 2012 to 2026, was US Deputy Secretary of Defense from 2009 to 2011, and previously held senior roles at RTX Raytheon and DoD.
- **AVEX:** Awarded the next option year on California OES' Fire Integrated Real-Time Intelligence System (FIRIS) contract, valued at $15.2MM, continuing AVEX's role as prime provider of real-time airborne intelligence for California wildfire response and all-hazard emergency readiness. FIRIS integrates airborne sensors, rapid data transmission, real-time wild and fire spread modeling and a statewide common operating picture; since inception in 2020, AVEX has flown 2,600+ flight hrs and nearly 1,700 missions, supported by its GeoFOCIS software / mission architecture.
- **BA:** Awarded a USSF contract worth up to $2BB to design, develop, produce and test 2 next-gen MUOS military communications satellites, beating incumbent **LMT**, which built all 5 satellites currently operating in the constellation. The satellites are to be delivered by 2035 and extend the life of MUOS, DoW's primary narrowband & UHF communications network used by troops, ships, aircraft and special operations forces.
- **BA / NOC:** House appropriators are concerned DoD may miss its Aug. 2026 deadline to award the Navy F/A-XX EMD contract, citing repeated delays, limited communication and lack of supporting analysis since Feb. 2025, despite increasing FY27 funding to $915MM vs Navy's $140MM RDT&E request. Lawmakers directed DoD to use FY27 funds to execute an EMD contract that accelerates IOC and to fund an accelerated FY28 plan, with production expected to go to either BA or NOC; separately, appropriators proposed cutting FY27 P-8A funding to $2.8BB from the Navy's $4.2BB request for 12 aircraft, citing "excess to need" costs.
- **BAH:** Agreed to acquire Cobham Ultra Group's Ultra I&C Mission Solutions business from Advent for $720MM, adding mission-critical software, encryption and edge-compute products for national security missions. Ultra's Apex, ADSI, ACTS, Rain and Knox offerings unify C2, edge compute, secure data movement and encryption for contested and disconnected environments and will complement BAH's AI-driven battle management, resilient comms and edge infrastructure portfolio; BAH expects strong double-digit revenue growth from the asset over the next several years, EBITDA margins well above 20%, and closing in fiscal Q2:27 ending Sep 30, 2026.
- **CACI:** On June 22nd, CACI named Dave Young as COO. In his previous role, Young served as General Manager of National Security Space at LMT, where he had full P/L responsibility for a $7BB revenue business. As GM, he led LMT's satellite, satellite ground, and space war fighting portfolios. Clearly signals CACIs shift further into products.
- **CCA Program:** USAF's CCA program is using a decoupled hardware and software acquisition model, with Increment 1 awards to General Atomics' FQ-42 and Anduril's FQ-44 paired w/ separate mission autonomy contracts to a 6-vendor pool incl Anduril, General Atomics, **LMT**, **NOC**, **RTX** Collins Aerospace and Shield AI. Of those, Anduril, **RTX** and Shield AI were selected for the first of two 6-month autonomy competitions, w/ a primary provider expected to be selected by summer 2027. USAF is targeting >150 combat-capable CCAs by end of decade and ~1,000 over time, with FY27 funding incl nearly $1BB of procurement and ~$1.4BB of development, while keeping unit cost around one-third of an F-35, or <$30MM per aircraft.
- **ESLT:** Israel is exploring potential US listings for state-owned Israel Aerospace Industries and Rafael Advanced Defense Systems, makers of Arrow and Iron Dome, as officials assess whether US markets could offer more flexibility around disclosures for classified programs. The government may sell stakes of up to 30%, with IAI reportedly valued at ~100B shekels (~$33.7BB) and Rafael at ~60B shekels (~$20.2BB); both posted record 2025 revenue, with backlogs above $30BB and $20BB, respectively, and foreign orders representing ~70% of IAI and ~50% of Rafael orders.
- **FLY:** Announced the acquisition of Space-ng, an AI vision navigation and autonomous guidance provider used on Blue Ghost M1 to execute 2 autonomous hazard-avoidance maneuvers during lunar descent. FLY plans to integrate Space-ng's software, spacecraft cameras, and AI compute across Blue Ghost and Elytra, supporting GPS / GNSS-denied navigation, revenue and proximity ops, docking, and SDA.
- **LHX:** Received 2 FMS orders for Falcon communication systems to support Germany's Digitalization – Land Based Operations (D-LBO) program and special operations forces requirements. The software-defined systems are intended to enhance secure, interoperable comms with EU &

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NATO allies, provide reliable connectivity globally and allow future capability upgrades via software updates; deliveries are expected this year, extending LHX's decades-long support of German armed forces and adding to multiple prior D-LBO orders.

- **LHX:** LHX broke ground on 2 additional self-funded PAC-3 propulsion facilities at its Arkansas Advanced Propulsion Facilities campus in Camden to support increased US Army PAC-3 production capacity. LHX produces the PAC-3 MSE interceptor's two-pulse solid rocket motor, Attitude Control Motors and Lethality Enhancer for **LMT**'s PAC-3 program; the expansion includes a ~75k sq ft cast, cure, and final assembly facility and ~70k sq ft case prep facility w/ AI-enabled X-ray inspection, automated casting and expanded curing capacity, contributing to LHX's broader plan to add ~60 facilities and nearly 1MM sq ft across Alabama, Arkansas and Virginia.
- **LMT:** Awarded an $8.4BB US Army contract modification that increases the ceiling and extends the ordering period for Precision Strike Missile (PrSM) Increment 1, covering expanded production capacity, Early Operational Capability assets, follow-on production, continued development and obsolescence management through FY32. The modification brings total cumulative contract value to $13.34BB, with work & funding to be determined by order and completion expected Sept. 30, 2032. This follows the DoW framework agreement announced in March to accelerate PrSM production via facility and test infrastructure investment. Army FY27 plans include ~$2BB for PrSM across discretionary and mandatory funding, incl 680 missiles via discretionary funding and a multiyear contract for 454 Increment 1 missiles via mandatory funding.
- **MDA-CN:** Awarded a $688MM contract by the Canadian Space Agency to design, build, test, launch and commission a next-gen SAR satellite to operate w/ the existing RADARSAT Constellation Mission, following a $44.7MM long-lead parts contract awarded in Dec. The satellite will be based on MDA CHORUS, incl related ground control, security and data management upgrades, and is part of Canada's ~$1.0BB RADARSAT+ portfolio to maintain sovereign Earth observation capabilities; work will be added to backlog in Q2:26, w/ assembly, integration and test at MDA's Montréal facility.
- **SDA Transport Layer:** House appropriators would direct Space Force to continue developing SDA's Tranche 3 Transport Layer despite service plans to shift capabilities to the Space Data Network, arguing PWSA's iterative, multi-vendor tranche model supports competition, lowers costs and maintains the industrial base vs sole-source space comms procurements. The panel added $18MM for transport layer software architecture and $10MM for hybrid boosted SATCOM, while directing Link-16 to remain a requirement for tactical data layer architectures given Transport Layer's role delivering resilient mission-critical data directly to US and NATO warfighters.
- **TDY:** Teledyne FLIR Defense won a $28.8MM CBP contract for the Enhanced Mobile Surveillance Capability-Lite program, under which it will deliver an upgraded Lightweight Vehicle Surveillance System primarily for Southwest border deployments. The 24-month award covers vehicle-based, multi-sensor systems integrating radar and EO/IR cameras on a rapidly deployable mast mounted to a Ford F-250 4x4, enabling agents to detect, identify, classify and track people, vehicles or animals; initial deliveries are expected to begin in Q3:26, w/ production in Elkridge, MD and sustainment in Tucson.
- **YSS:** Completed initial Dragoon mission objectives, demonstrating bi-directional UHF tactical comms from LEO across 5 tests over 3 months. Dragoon expands YSS' portfolio to 8 mission sets aligned w/ national defense priorities and positions the company against ~$20BB of classified FY27 mission sets, while the mission reached orbit in 7 months using an inventory spacecraft platform and YSS' 20-platform inventory is intended to support delivery timelines up to 75% shorter than current mission timelines.
- The White House requested an $87.6BB supplemental, incl. $67.1BB for DoW, led by $21BB for munitions replenishment and production following Operation Epic Fury, $17.3BB for Iran-related operational costs, $12.1BB for classified programs, $5.1BB for cyber and autonomy, $4BB for AMTI and Space Data Network Backbone, and $2.4BB from drones. **LMT**, **RTX**, **NOC**, **GD**, and **LHX** stand to benefit from any munitions funding.
- The Army combined the 7th Infantry Division and 1st Multidomain Task Force into the new Multi-Domain Command-Pacific, pairing 7ID's Stryker / maneuver, protection and sustainment capabilities w/ MDTF sensing, intelligence collection, long-range strike, cyber and EW missions. The command is intended to serve as a theater-level integrator for space, cyber, and EW effects at scale, support "cross-domain contact layer" ops connecting sensors to shooters across space, stratosphere, air, maritime and land domains, and link w/ 4th and 25th Infantry Divisions under Next Gen C2, incl agentic AI-enabled C2 to optimize sensor positioning and rapidly push data to the best shooter.
- Progress payments for defense contractors have been increased to 90% monthly under the Revolutionary FAR Overhaul, which has entered formal rulemaking. The overhaul, initiated by Executive Order, aims to make federal acquisition more flexible and competitive, addressing the issue that 48% of Pentagon contracts in 2025 lacked competitive bidding.

Commercial Aerospace

- **AIR-FP:** EASA ordered emergency inspections of 16 A380s after cracks were found in the mid-wing spar, a key structural component that distributes in-flight stress. The directive affects 15 Emirates aircraft and 1 Qantas jet, with 5 Emirates aircraft grounded for immediate checks and the remaining aircraft requiring inspection within 25 flight cycles; EASA has not grounded the broader A380 fleet, citing limited evidence of a wider safety risk.

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- **AIR-FP:** Airbus is accelerating studies for a low-risk A220-500 stretch, likely adding 5 rows / ~25 seats vs the A220-300, as customers incl **DAL,** AirAsia, LHA-GR and AF-FP push for launch. Airbus remains focused on the A220 ramp to 13/mo by 2028 and profitability, while a simple stretch would likely trade range for capacity and remain w/ **RTX**'s Pratt & Whitney PW1500G; A220 orders total 1,109 w/ 517 delivered, and AIR-FP expects no PW1500G-related AOGs by YE26.
- **ATI:** Expanded advanced manufacturing and inspection capabilities w/ a fully operational greenfield facility in Chihuahua, Mexico to support growing demand for next-gen aerospace engine components. The site integrates advanced machining, nondestructive testing, finishing and quality verification into ATI's forging flow path, increasing throughput from forging through final inspection for legacy and next-gen engine programs while helping customers address persistent aerospace supply chain constraints; investment is included in existing capex guidance.
- **BA:** Boeing is preparing ETOPS testing as part of the final 777-9 certification phase, likely using 2 aircraft and the GE Aerospace GE9X, following the precedent set by prior 777 ETOPS campaigns. The original 777-200 was the first aircraft to receive FAA approval for 180-min ETOPS at service entry in 1995, enabled by Boeing's "Working Together" approach w/ regulators, engine makers, suppliers and airlines; the upcoming 777-9 effort is expected to be closer to the 777-300ER campaign, which used 2 aircraft across 38 flights / 267 flight hrs and included prolonged GE90 engine-out demonstrations.
- **HONA / HON:** Honeywell Aerospace (HONA) will be added to the S&P 500 and S&P 100 on June 29, coinciding w/ HON's expected spin-off of HONA that same day. Post spin, Honeywell International will be renamed Honeywell Technologies and remain in the S&P 500, while HONA replaces HON in the S&P 100 effective prior to the June 30 open; S&P cited HONA as more representative of the mega-cap space, reinforcing expected index ownership / passive demand around the separation.
- **IATA:** IATA called for urgent action on aerospace supply chain / engine MRO bottlenecks, citing >18,000 aircraft backlog, record 15.2-yr avg fleet age, >5,000 delayed replacement aircraft and at least $11BB of airline cost in 2025 from supply chain failures. Priorities include better OEM visibility from airframers incl **BA**/**AIR-FP**, broader aftermarket access and third-party MRO competition, data / AI to improve inventory and repair-or-replace decisions, and more technician capacity, with **BA** estimating 710,000 new technicians needed over 20 yrs; separately, IATA/Emerton highlighted latest-gen narrowbody engine pressure at CFM, the **GE/**SAF-FP JV producing LEAP, and **RTX**'s Pratt & Whitney GTF, with GTF groundings peaking at 648 aircraft (28% of the fleet in Mar. 2025) and annual shop visits forecast to rise from ~600–800 today to >5,000 by 2040 for LEAP and from ~1,000 to >2,000 for GTF.
- **VTOL:** Bristow agreed to acquire Berry Aviation from Acorn Capital Management for $105MM cash, adding a fleet of 20+ aircraft and expanding VTOL's Government Services platform with special missions, ISR, MRO, training/mission support and UAS design / development capabilities. Berry generates ~72% of revenue from gov & defense aviation services, with the balance from on-demand cargo logistics and aftermarket supply-chain aviation solutions; VTOL expects the deal to diversify revenue, improve earnings quality and be accretive to earnings / cash flow, while also announcing plans to exit its Norway offshore energy services business.
- European carriers are expanding in-house MRO capabilities to mitigate constrained third-party capacity, rising material costs and less predictable TATs, while still using external providers for flexibility during peak demand. Ryanair is adding hangar capacity across Europe, incl a previously announced £40MM four-bay facility at Prestwick and a €25MM Madrid expansion, while exploring two in-house engine facilities for its CFM56 / LEAP fleet by ~2029 as future engine requirements grow toward ~2K units. LOT, TAP and GetJet are similarly increasing internal control over base / line maintenance, components, procurement and engineering, reinforcing that airlines are prioritizing capacity certainty and TAT control as aftermarket demand remains tight.

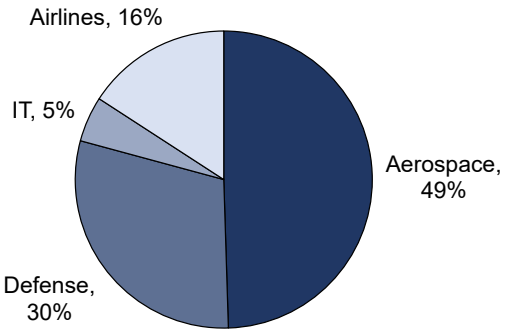
Airlines

- **AirAsia:** Plans to restore full capacity by late Aug or early Sept after cutting 2Q capacity by ~10% due to higher fuel, though not all suspended routes will return as the airline reallocates capacity toward better demand and profitability. Load factors held at ~83% from Jan-May despite higher fares, and AirAsia cut fares by 5% on Jun 15 as fuel eased; fleet actions include first A321LR delivery in Apr, two more A321LRs this year and seven next year, additional A321neos, return of ~12 older A320s to lessors, and a gradual A330 phase-out as XLR take over some routes.
- **Avelo:** Sees potential relief in 737-800NG pricing as more aircraft come to market, driven by higher fuel costs pressuring operators, improving BA production rates and GE engine deliveries enabling carriers taking new MAX aircraft to retire and replace older aircraft rather than add pure growth capacity. Avelo currently operates 15 737-800s and expects to add 8-10 more before its first of 50 E195-E2s arrives in 2H28, creating a potential NT opportunity to source lower-cost 737-800 lift ahead of its Embraer fleet transition.
- **DAL:** Installing Vortex Control Technologies' drag-reducing finlets across its 240 **BA** 737-800-900ERs after a 22-aircraft in-service evaluation validated a 1.2% fuel burn reduction. The 25-in aerodynamic devices reshape aft-fuselage airflow to lower drag and will be installed during maintenance checks overnight at ATL, with DAL targeting completion in 18 months; finlets are already certified on 737NG variants and flying on 6 airlines, with ~1MM passenger-carrying flight hrs accumulated to date.

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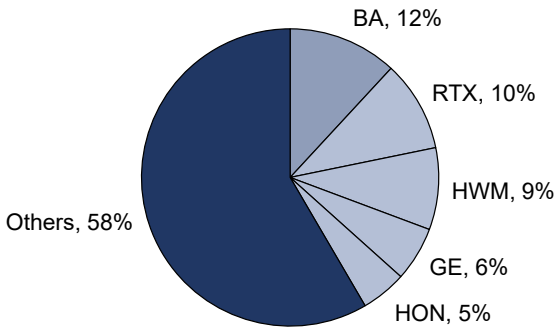
- **EgyptAir:** Evaluating 28 additional narrowbody & widebody aircraft for delivery by 2030 as it raises its fleet target to 125 aircraft by decade-end vs prior 97-aircraft goal. Growth is supported by profitability, improved aircraft availability, Cairo airport expansion and strong Egypt tourism and travel demand; current commitments include new **BA** 737-8s from lessors and 16 AIR-FP A350-900s, while management noted narrowbody and widebody delivery slots have opened up vs last year and is in discussions w/ lessors on incremental aircraft.
- **JAL:** Began construction of a new landing gear MRO facility at Tokyo Haneda, expanding in-house support for heavy landing gear overhauls typically performed every 10 years. The facility, expected to be completed by YE27, will operate under new subsidiary Landing Gear Innovation Factory and add plating, next-gen thermal spraying, painting, surface treatment and NDI capabilities, while incorporating automated or labor-saving systems and advanced equipment being introduced in Japan for the first time.
- **JBLU:** JetBlue is scaling back portions of its New York-area footprint, ending seasonal Newark-Los Angeles/Las Vegas service and closing its Newark inflight base plus Newark/LaGuardia tech-ops bases this fall, while shifting growth to Fort Lauderdale following Spirit's May shutdown. JBLU expects no job losses from the base closures, w/ affected employees able to bid or transfer, and is increasing FLL flying incl daily Mint service to San Diego starting Nov. 19 and more Mint flying to Los Angeles/San Francisco; OAG data shows JBLU's FLL departing seats have grown from ~333k in Jun '24 to >432k in Jun '26, increasing share from 19.7% to 33.9%, while June NYC-system seats are down ~3% y-o-y.
- **UAL:** United operated its first Starlink-equipped widebody transatlantic customer flight on a 777-200 from Newark to London, marking the first of nearly 60 widebodies expected to receive Starlink this year and the full widebody fleet by next summer. More than 400 UAL aircraft have Starlink today, with close to 1,000 expected by YE and the entire fleet by YE27; since launch, UAL has flown 18.6MM passengers across 311k + Starlink-equipped flights, powering 9.9MM devices and nearly doubling Wi-Fi satisfaction scores on equipped aircraft. UAL is also partnering with DIRECTV through July 20 to stream live TV to seatback screens on up to 150 Starlink-enabled aircraft, giving customers free access to 12+ channels incl FOX, ESPN, TNT, CBS, NBC, TBS and BBC; UAL has 160k+ seatback screens today and plans to roughly double that number through new deliveries and retrofits.
- **EasyJet:** Rejected a third unsolicited Castlelake bid at £6.25/share, following prior offers at £5.60 and £6.00, with the board calling the proposal opportunistic and an attempt to acquire the airline "on the cheap" against a temporarily depressed share price from ME disruption. Castlelake's proposed structure would be 49% owned by Castlelake and 51% by EU nationals/other investors, incl former airline executives Peter Bellew and Mark Breen, but EasyJet cited concerns around valuation, ownership opacity, leverage and conditionality. EasyJet remains an attractive consolidation target given its slot portfolio, incl 196 daily slot pairs and ~46% capacity at London Gatwick and positions at constrained airports such as Amsterdam, Geneva, Paris Orly, Milan Linate, Malpensa and Lisbon, plus a 356-aircraft Airbus fleet and strong orderbook supporting fleet renewal and up-gauging.

Exhibit 2 - Investor Interest Last 30-Days - Aerospace Accounted for 49% of Discussions



Source: Jefferies

Exhibit 3 - Investor Interest Last 30-Days - BA, RTX, HWM, GE, & HON Lead



Source: Jefferies

Upcoming Events

Bespoke Jefferies Events

- **June 30, 2026: PSN CEO** NDR - NYC
- **July 19-21, 2026:** Farnborough Air Show & Cocktail Reception w/ ATI, **BETA**, BOC, BAE, **CAE**, Crane, Ducommun, ETN, **ESLT**, EMBJ, **FLY**, **GE**, **HEI**, **HXL**, IAG, ITP, Joby, Karman, Leonardo, **LOAR**, Montana, Moog, Otto, PH, **SARO**, **TXT**, Vertical, **WWD** - Farnborough, UK
- **July 28, 2026: LMT CFO** NDR - NYC

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- **November 2026:** UT Game and Austin Defense Tech Trip (loading)

Jefferies Conferences

- **Sept 9-10, 2026:** JEF Industrial Conf (In Progress) w/ >60 Companies Registered Thus Far NYC w/ **AVAV, AVEX, AAL, ARXS, BAH, BKSY, CDRE, CAE, ESLT, EVEX, FLY, FTAI, HEI, HON, HXL, HWM, LHX, LDOS, LOAR, MRCY, PDYN, PSN, LUV, RDW, SARO, TDY, TXT, UAL, VOYG, VSEC, UP, WWD, YSS.**
  - **Sept 8: LOAR** dinner
  - **Sept 9: CAE**, **LUV**, and **TXT** dinners

Marketing & Analyst Days

- **July 8: AVAV** Analyst Day
- **Dec: VSEC** Analyst Day

Expert Calls

- **Mon, June 29:** Airline Rewards w/ Point.me (*Link*)
- **Mon, June 29:** State of the eVTOL Market With Bristow (*Link*)
- **Thurs, July 9:** VBA Medical Exams w/ Hector Del Pozo (*Link*)
- **Tuesday, July 14:** An Update on Business Jets with Execaire (*Link*)

Please reach out to the team or Jefferies sales representative to register for Roadshows and Mgmt. Meetings.

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Company Valuation/Risks

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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Company Specific Disclosures

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Other Companies Mentioned in This Report

- AeroVironment, Inc. (AVAV: $136.68, BUY)
- Aevex Corp (AVEX: $15.43, BUY)
- Airbus Group NV (AIR FP: €195.08, HOLD)
- American Airlines Group, Inc. (AAL: $17.57, HOLD)
- Beta Technologies (BETA: $16.01, BUY)
- BlackSky Technology (BKSY: $24.35, HOLD)
- Booz Allen Hamilton (BAH: $59.71, RESTRICTED)
- CACI International Inc. (CACI: $443.26, HOLD)
- CAE Inc (CAE: $24.64, HOLD)
- Cadre Holdings, Inc. (CDRE: $28.16, BUY)
- Delta Air Lines, Inc. (DAL: $92.11, BUY)
- Eaton Corp. (ETN: $419.87, BUY)
- Elbit Systems Ltd. (ESLT: $732.71, HOLD)
- Eve Holding, Inc. (EVEX: $2.43, BUY)
- FTAI Aviation Ltd (FTAI: $268.40, BUY)
- Firefly Aerospace (FLY: $24.61, BUY)
- General Dynamics Corp. (GD: $344.70, BUY)
- General Electric Company (GE: $371.36, BUY)
- Heico Corporation (HEI: $342.45, BUY)
- Honeywell International Inc. (HON: $231.24, HOLD)
- Howmet Aerospace Inc (HWM: $273.14, BUY)
- L3Harris Technologies (LHX: $288.52, RESTRICTED)
- Leidos Holdings (LDOS: $100.00, HOLD)
- Lockheed Martin Corp. (LMT: $505.02, HOLD)
- MDA Space Ltd (MDA CN: C$51.18, BUY)
- Mercury Systems (MRCY: $105.57, HOLD)
- Northrop Grumman Corp. (NOC: $499.33, HOLD)
- Palladyne AI Corp (PDYN: $5.83, HOLD)
- Parsons Corporation (PSN: $47.05, HOLD)
- RTX (RTX: $186.59, BUY)
- Redwire (RDW: $10.80, HOLD)
- Southwest Airlines Co. (LUV: $52.09, HOLD)
- StandardAero (SARO: $27.79, HOLD)
- Teledyne Technologies Incorporated (TDY: $627.19, BUY)
- Textron Inc. (TXT: $89.06, BUY)
- The Boeing Company (BA: $218.12, BUY)
- United Airlines Holdings, Inc. (UAL: $134.61, BUY)
- VSE Corporation (VSEC: $223.69, BUY)
- Voyager Technologies, Inc. (VOYG: $29.32, BUY)
- Wheels Up (UP: $7.10, RESTRICTED)
- Woodward (WWD: $436.44, BUY)
- York Space Systems LLC (YSS: $24.39, RESTRICTED)
- easyJet (EZJ LN: £5.74, BUY)

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2223	62.37%	385	17.32%	113	5.08%
HOLD	1177	33.02%	102	8.67%	20	1.70%
UNDERPERFORM	164	4.60%	1	0.61%	1	0.61%

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